Report of

THE SECRETARY OF THE TREASURY

on

SPECIALIZED GOVERNMENT SECURITIES BROKERS AND DEALERS

Lit.
inCom 5030
NOV 7 1995
TREASURY DEPARTMENT

July 1995

U.S. DEPARTMENT OF THE TREASURY
STUDY OF
SPECIALIZED GOVERNMENT SECURITIES BROKERS AND DEALERS

TABLE OF CONTENTS

Page

EXECUTIVE SUMMARY ii

I. PURPOSE i

II. BACKGROUND AND HISTORY 2

A. IMPETUS FOR GOVERNMENT SECURITIES ACT OF 1986 2
B. REGULATORY STRUCTURE ESTABLISHED BY THE GSA 2
C. NUMBER OF SPECIALIZED GOVERNMENT SECURITIES BROKERS AND DEALERS 4
D. ORIGINAL DIFFERENCES IN 15C REGULATORY STRUCTURE 5
1. Limitation on NASD Rules 6
2. Securities Investor Protection Corporation Insurance 7
3. Financial Responsibility Rules 7
E. NARROWING OF DIFFERENCES IN 15C REGULATORY STRUCTURE 8
1. Expansion of NASD Rules to Government Securities 8
2. Development of a Uniform Capital Rule 9

III. IDENTITY AND NATURE OF 15C FIRMS 9

A. DESCRIPTION OF CURRENT 15C FIRMS' BUSINESS 9
1. Interdealer Brokers 10
2. Large Dealers 11
3. Midsize/Small Broker-Dealers 12
4. Bank Affiliates 12
B. REASONS WHY FIRMS ORIGINALLY REGISTERED AS 15C BROKER-DEALERS AND RETAIN 15C STATUS 13
C. EFFECTS/IMPACTS OF SWITCHING FROM 15C TO 15(b) REGISTRATION 15

IV. CONSEQUENCES OF CONTINUING THE SECTION 15C REGULATORY STRUCTURE . . 17

A. FINANCIAL CONSIDERATIONS 17
B. REGULATORY CONSIDERATIONS 18
C. IMPACT ON THE GOVERNMENT SECURITIES MARKET 20

V. OBSERVATIONS AND CONCLUSIONS 20

VI. RECOMMENDATION 23

EXHIBIT I 24

EXHIBIT II 25

EXHIBIT III 26

EXECUTIVE SUMMARY

The Government Securities Act of 1986 (GSA), as amended, granted the Treasury sole rulemaking authority over specialized government securities brokers and dealers who had previously been unregistered at the federal level. These specialized brokers and dealers conduct a business only in government and other exempted securities (except municipal securities) and are registered with the Securities and Exchange Commission (SEC) under a separate statutory authority (i.e., Section 15C of the Securities Exchange Act of 1934) than general securities brokers and dealers. The Government Securities Act Amendments of 1993 directs the Secretary of the Treasury to conduct a study and report on this specialized regulatory structure.

In completing this study, Treasury staff conducted 17 interviews, which represented 21 of the 33 specialized government securities brokers and dealers. The report summarizes the nature and types of business the firms conduct. In the interviews, the firms indicated that the primary reasons they originally registered as specialized government securities brokers and dealers were that the GSA regulatory structure and rules were a "good fit" for the limited and specialized lines of business that the firms conduct and did not impose excessive and overly burdensome requirements (i.e., no qualifications testing or SIPC fees). The Treasury capital rule was also viewed favorably by the firms as better reflecting the realities of the government securities market. Interdealer brokers who play a special role in the vast, over-the-counter market for Treasury securities, and other government securities, particularly stressed the need for regulatory structure tailored to their unique role.

The number of specialized government securities brokers and dealers has steadily declined from the inception of the GSA -- from 67 firms in 1987 to 33 as of March 1995. Differences between the regulatory system for specialized government securities brokers and dealers and the system for general securities brokers and dealers that conduct a government securities business have either been eliminated or significantly reduced through recent Congressional and regulatory actions. However, one significant difference remains -- separate Treasury and SEC capital rules. Since efforts by the Treasury and the SEC staffs to develop a uniform capital treatment for all government securities transactions are not yet complete, a decision to eliminate the regulatory system for specialized government securities brokers and dealers would be premature.

There would be no significant adverse impact on the long-term financial and operational health of the specialized government securities brokers and dealers if they were required to convert to a general securities broker-dealer registration option. However, a mandatory registration conversion would impose some new or

increased costs on the firms resulting from changes to automated recordkeeping and reporting systems, employee training and testing, SIPC assessments and capital rule charges. These increased costs would be incurred with little or no corresponding benefits. Further, many of the remaining specialized government securities brokers and dealers prefer this current structure and do not want to change their registration status. The SEC, however, supports the elimination of the 15C regulatory structure because of the potential for inconsistent regulatory standards, as well as concerns regarding SIPC coverage, regulatory duplication, and the inefficient allocation of resources.

Elimination of the separate regulatory structure for specialized government securities brokers and dealers would not result in any significant decreased administrative costs to the Federal government. The Treasury would still have rulemaking authority over the government securities market as a whole, and resources devoted to these specific rules are minimal. Any concerns regarding the potential for significant regulatory inconsistencies arising from both the Treasury and the SEC having overlapping rulemaking authority over the government securities market are mitigated by the fact that no such problems have occurred since the inception of the GSA in 1987 due to close coordination and consultation between the agencies.

In addition, the Treasury's involvement in the government securities market as rulemaker complements its role as issuer of the government's debt. This benefits the public as the Treasury is better able to ensure continuation of an honest, efficient and liquid market that minimizes borrowing costs. For this reason and the aforementioned reasons, the Treasury recommends that the current regulatory system for specialized government securities brokers and dealers be maintained at this time.

U.S. DEPARTMENT OF THE TREASURY
STUDY OF
SPECIALIZED GOVERNMENT SECURITIES BROKERS AND DEALERS

I. PURPOSE

The Government Securities Act Amendments of 1993 (GSAA)[1] directs the Secretary of the Treasury to conduct a study of registered government securities brokers and dealers and to submit a report to Congress. The specific statutory provision which requires the Treasury study, Section 112 of the GSAA, reads as follows:

> "Sec. 112. STUDY OF REGULATORY SYSTEM FOR GOVERNMENT SECURITIES.
>
> * * *
>
> (b) TREASURY STUDY - The Secretary of the Treasury, in consultation with the Securities and Exchange Commission, shall -
>
> (1) conduct a study of -
>
> (A) the identity and nature of the business of government securities brokers and government securities dealers that are registered with the Securities and Exchange Commission under section 15C of the Securities Exchange Act of 1934; and
>
> (B) the continuing need for, and regulatory and financial consequences of, a separate regulatory system for such government securities brokers and government securities dealers; and
>
> (2) submit to the Congress, not later than 18 months after the date of enactment of this Act, the Secretary's recommendations for change, if any, or such other recommendations as the Secretary considers appropriate."

This report is submitted to comply with the above requirement.

---

[1] Pub. L. No. 103-202, 107 Stat. 2344.

II. BACKGROUND AND HISTORY

A. IMPETUS FOR GOVERNMENT SECURITIES ACT OF 1986

The failures of several government securities brokers and dealers between 1975 and 1985 caused a number of government securities market participants to incur sizeable financial losses. These failures included Winters Government Securities, 1977; Drysdale Government Securities, 1982; Lombard-Wall, 1982; Comark, 1982; Lion Capital Group, Inc., 1984; E.S.M. Government Securities, Inc., 1985; and Bevill, Bresler & Schulman Asset Management Corp., 1985. The failed dealers were largely unregulated and were not subject to supervision by any federal regulatory agency.[2] This lack of regulation was due to the fact that government securities are classified as "exempted securities"[3] under the Securities Exchange Act of 1934 (Exchange Act).[4] Since these entities conducted business exclusively in government and other exempted securities (except municipal securities), they were not subject to a system of registration or regulation at the federal level.[5]

The disruptions in the government securities market resulting from these failures of government securities dealers raised concerns in Congress that the lack of federal regulation over this market presented a serious threat to its liquidity and integrity and to the Treasury's ability to finance the public debt. Congressional scrutiny culminated in the enactment of the Government Securities Act of 1986 (GSA),[6] amending the Exchange Act, which established a framework whereby all entities engaged in government securities broker or dealer activities would be subject to a comprehensive, coordinated scheme of federal regulation.

B. REGULATORY STRUCTURE ESTABLISHED BY THE GSA

The GSA closed then-existing gaps in the regulation of the government securities market by establishing, for the first time, a federal system for the regulation of all intermediaries in the market. The GSA required previously

---

[2] The majority of government securities broker-dealers were subject to federal supervision, either because they were broker-dealers in corporate, equity or other securities that were registered with the Securities and Exchange Commission or because they were state or federally chartered insured banks.

[3] 15 U.S.C. 78c(a)(12).

[4] 15 U.S.C. 78a, *et seq.*

[5] 15 U.S.C. 78*o*(a)(1).

[6] Pub. L. No. 99-571, 100 Stat. 3208.

unregistered brokers and dealers that limited their business to government and other exempted securities (except municipal securities) to register, pursuant to Section 15C of the Exchange Act,[7] with the Securities and Exchange Commission (SEC) (i.e., 15C firms or specialized government securities brokers and dealers). In addition, these entities were required to join a self-regulatory organization. For those firms that were already registered as general securities brokers or dealers (i.e., 15(b) firms) or municipal securities brokers or dealers under Sections 15 or 15B of the Exchange Act,[8] respectively, they were required to file notice with the SEC of their intent to conduct or continue conducting a government securities business. Finally, the GSA directed financial institutions that engaged in government securities broker or dealer activities to file notice with their appropriate regulatory agency of such activities.[9]

Under the new regulatory structure established by the GSA, the Treasury was given rulemaking authority over all brokers and dealers in government securities. Specifically, the Treasury was designated by Congress as the sole rulemaker for specialized government securities brokers and dealers (33 firms as of March 1995) and was given rulemaking authority for the government securities activities of financial institutions that filed notice as government securities brokers and dealers (approximately 300 as of January 1995). The Treasury and the SEC have overlapping rulemaking responsibilities for the government securities activities conducted by general securities brokers and dealers (15(b) firms) which numbered about 2,231 as of March 1995. The GSA granted the Treasury the authority to promulgate rules and regulations for each of these entities concerning financial responsibility, protection of investor securities and funds, recordkeeping and financial reporting and audits.[10]

The focus of this study is limited to the separate regulatory structure that was established for specialized government securities brokers and dealers registered with the SEC under Section 15C of the Exchange Act (15C firms). In conducting the study, Treasury staff, as required by the GSAA, consulted with the SEC. The views expressed herein, unless otherwise noted, are the opinions of the Treasury Department.

---

[7] 15 U.S.C. 78*o*-5.

[8] 15 U.S.C. 78*o* or 78*o*-4, respectively.

[9] 15 U.S.C. 78*o*-5(a)(1)(B).

[10] 15 U.S.C. 78*o*-5(b)(1). In addition, Title II of the GSA authorized the Treasury to develop regulations pertaining to the custodial holdings of government securities by depository institutions that are not government securities brokers or dealers.

C. NUMBER OF SPECIALIZED GOVERNMENT SECURITIES BROKERS AND DEALERS

During the course of the Congressional debate in 1985-1986 that eventually led to passage of the GSA, there was considerable discussion regarding the number of entities that were engaged in government securities broker or dealer activities.[11] There was much uncertainty regarding the number of entities that were conducting a government securities business and, more importantly, the number of unregistered and unregulated firms that were engaged in such business. Information provided at various Congressional hearings and in different reports estimated that the number of secondary market dealers in the government securities market could range from 200-500.[12] It was generally believed that the majority of these entities were regulated at the federal level since they were either registered as brokers or dealers with the SEC or they conducted their government securities activities within an otherwise regulated banking organization. The estimates of unregulated government securities dealers ranged from 100-200, which was in addition to the 9-10 primary dealers that were known to be unregistered at that time.[13]

When the Treasury promulgated its final regulations implementing the GSA on July 24, 1987, 67 entities (including 9 primary dealers) had registered with the SEC as specialized government securities brokers and dealers. Although we do not have any specific information regarding why the number of entities that registered as 15C firms was smaller than the estimates developed during the legislative process, it is likely that some previously unregistered broker-dealers ceased conducting a government securities business given the new regulatory requirements, that other firms merged their government securities activities into previously registered broker-dealer affiliates and that a third group decided to register as 15(b) firms.

---

[11] See S. Rep. No. 99-426, 99th Congress, 2d Sess., Aug. 1986, p.4 (S. Rpt. 99-426); H. R. Rep. No. 99-258, 99th Congress, 1st Sess., Sept. 1985, pp. 12-14; Congressional Record (July 10, 1985) at S. 9626-27; and SEC Release No. 34-21959 (April 19, 1985), 50 FR 15905.

[12] See Statement of E. Gerald Corrigan before the Subcommittee on Securities, May 9, 1985; "Survey of the Federal Reserve System's Supervision of the Treasury Securities Market: A Discussion Paper" prepared by the General Accounting Office for the Subcommittee on Domestic Monetary Policy of the House Committee on Banking, Finance and Urban Affairs, 99th Cong., 1st Sess. (May 1985) pp. 12-13 (estimating 300 secondary dealers); SEC Release No. 34-21959 (April 19, 1985), 50 FR 15905 (estimating 200 secondary dealers); and S. Rpt. 99-426, at p. 4 (estimating 400-500 secondary dealers).

[13] S. Rpt. 99-426 at pp. 3-4 and Congressional Record (July 10, 1985) at S. 9627. There were 10 unregistered primary dealers in July 1985 and 9 in August 1986.

Over the last eight years, the number of specialized government securities brokers and dealers has steadily decreased; the current number is 33, two of which are primary dealers. Exhibit I is a table that shows the number of 15C firms from 1987-1995, including the number that are primary dealers. Exhibit II is a listing of the current 15C firms as of March 1995.

The reasons for the decline in the number of 15C firms vary. Some specialized government securities brokers and dealers ceased business, either voluntarily or due to financial pressures. The growth in other securities markets and registered products, such as private label collateralized mortgage obligations (CMOs) and foreign sovereign debt, have caused many 15C firms to convert to a general securities broker-dealer registration status (15(b)), enabling them to effect transactions in these registered securities in the same entity as they conduct their government securities business. Finally, a number of 15C firms that were bank affiliates have moved their government securities activities to their Section 20 affiliates (generally 15(b) firms) which are regulated by the SEC and the Federal Reserve Board.[14]

D. ORIGINAL DIFFERENCES IN 15C REGULATORY STRUCTURE

The legislative history of the GSA clearly shows Congress' concern that the new regulatory structure for the government securities market not result in excessive regulation that would impair the effective and efficient operation of this market or impose significant barriers of entry for market participants. As a result, the Congress generally limited the scope of the GSA and the new authority thereunder to areas of documented abuse and weakness in the government securities market.[15] In accordance with the GSA, the Treasury incorporated many existing SEC and bank regulatory rules.

---

[14] Section 20 of the Glass-Steagall Act (12 U.S.C. 377) permits an affiliate of a member bank to engage in bank-ineligible securities activities, provided the affiliate is not engaged principally in the activities. Since 1987, the Board of Governors of the Federal Reserve System has granted approval to a number of affiliates of member banks pursuant to Section 4(c)(8) of the Bank Holding Company Act to engage in limited activities involving ineligible securities.

[15] "The legislation would grant to the Secretary specific rulemaking authority in the areas of financial responsibility and related practices, financial statements, recordkeeping, and exemptions from registration. Rulemaking authority in additional areas does not appear to be necessary to address the weaknesses that have been identified in the government securities markets." S. Rpt. 99-426, at 14.

1. Limitation on NASD Rules

In keeping with the narrowly-focused regulatory approach embodied in the GSA, Congress continued to limit the authority of the National Association of Securities Dealers (NASD), as a registered securities association. It did so by not lifting the restriction that precluded the NASD from applying many of its existing rules and practices -- that are applicable to general securities brokers and dealers (15(b) firms) -- to government securities transactions.[16] Thus, the full range of rules that the NASD imposes on its members, such as the Rules of Fair Practice and the Uniform Practice Code, did not apply to government securities brokers and dealers when the GSA was implemented in July 1987.[17] Some of the specific rules that did not apply to 15C firms included sales practice standards (i.e., suitability, mark-ups, churning, discretionary accounts) prescribing just and equitable principles of trade,[18] qualifications testing for sales representatives, margin maintenance, fidelity bonding, and financial responsibility and operational capability standards. Under the GSA, the NASD's authority was mainly restricted to enforcing compliance with Section 15C of the Exchange Act and the Treasury's regulations thereunder; disciplining 15C firms for violations of applicable securities laws and regulations; adopting rules to prevent false and misleading advertising in connection with the sale of government securities; and conducting examinations of 15C firms.

In contrast, those firms that registered with the SEC as general securities brokers and dealers rather than specialized government securities brokers and dealers were subject to a much broader range of NASD rules (qualifications testing, fidelity bonding, financial responsibility and operational capability standards). However, the NASD was still unable to adopt sales practice rules for transactions in government securities conducted by 15(b) firms.[19]

---

[16] Pub. L. No. 99-571, 100 Stat. 3208, Sec. 102(g).

[17] "... a registered securities association would not be authorized to regulate transactions in exempted securities by member brokers or dealers. For example, a registered securities association would be precluded from adopting ... any rules of fair practice applicable to government securities brokers and government securities dealers or from establishing any standards of financial responsibility, operational capability or competence with respect to government securities brokers, government securities dealers, or their associated persons." S. Rpt. 99-426, at 20.

[18] The restriction on the NASD's authority to adopt sales practice rules for transactions in government securities also extended to such transactions conducted by 15(b) firms. In contrast, registered securities exchanges (e.g., New York Stock Exchange) have no such restriction and have adopted sales practice rules for their members' transactions in government securities.

[19] See Section II.E. of this report for a discussion of the legislation that has lifted these restrictions on the NASD's rulemaking authority in government securities transactions.

2. Securities Investor Protection Corporation Insurance

Another distinction between the 15(b) and 15C forms of registration is that specialized government securities brokers and dealers are not permitted to become members of the Securities Investor Protection Corporation (SIPC), pursuant to the Securities Investor Protection Act (SIPA).[20] SIPC provides insurance against loss for cash and securities held in customer accounts at member broker-dealers resulting from the financial failure of a member. The amount of insurance for each customer claim is limited to $100,000 of cash and a total aggregate position of cash and securities up to $500,000.[21] In addition, SIPC often provides benefits to customers whose securities positions in customer accounts are in excess of $500,000 since each customer is entitled to a pro rata share of available customer property. In order to fund the insurance reserves and cover operating expenses, SIPC assesses its members an annual fee.

In enacting the GSA, Congress created the registration structure for 15C firms and revised the definition of registered broker and dealer in a manner that excluded specialized government securities brokers and dealers from SIPC membership under the provisions of Section 3(a)(2)(A) of SIPA.[22]

3. Financial Responsibility Rules

In adopting its capital rules in July 1987, the Treasury structured them to be similar to the voluntary capital guidelines that the Federal Reserve Bank of New York (FRBNY) established for primary and aspiring primary dealers in the mid 1980's[23] rather than adopting the SEC's capital rule, SEC Rule 15c3-1.[24] The Treasury capital rule[25] differs from the SEC rule in its use of liquid capital rather than net capital and in its risk measurement principles and ratio measurements. In the risk measurement area, the Treasury "haircut"[26] methodology provides a different system for recognizing the reduced risk of hedged positions and the

---

[20] 15 U.S.C. 78aaa, *et seq.*

[21] SIPC does not protect against losses due to market fluctuations in security prices.

[22] 15 U.S.C. 78ccc(a)(2)(A).

[23] The Federal Reserve Bank of New York, Capital Adequacy Guidelines for U.S. Government Securities Dealers (May 20, 1985).

[24] 17 CFR 240.15c3-1.

[25] 17 CFR 402.2.

[26] Haircuts are measures of risk of a dealer's or broker's positions, reflecting market and credit risk in determining capital adequacy.

importance of repurchase financing in the government securities market. With respect to ratio measurements, the Treasury rule links a government securities firm's required liquid capital to measured risk since firms specializing in government securities may have significant risk from dealer positions even though they generally bear insignificant risk from customer related assets or liabilities and generally have low levels of unsecured debt.[27]

The Treasury's financial responsibility regulations also took into account the diverse categories of specialized government securities brokers and dealers. The government securities market, as an over-the-counter market, relies heavily on a system of interdealer brokers. To that end, the rules for 15C firms contain an alternative capital treatment that can be elected by interdealer brokers.[28] The rules also assign different requirements to futures commission merchants that are government securities brokers and dealers and that are subject to the capital requirements of the Commodity Futures Trading Commission.

E. NARROWING OF DIFFERENCES IN 15C REGULATORY STRUCTURE

Although the regulatory system for specialized government securities brokers and dealers was designed differently from the 15(b) regulatory structure, certain actions have occurred over the last several years to eliminate or significantly minimize many of those differences.

1. Expansion of NASD Rules to Government Securities

The GSAA, which among other things permanently extended the Treasury's rulemaking authority over the government securities market, removed the limitations on the NASD's authority to apply its full range of rules and procedures to government securities transactions.[29] This provision removed all existing limitations on the ability of the NASD to regulate its members' transactions in exempted securities other than municipal securities. As a result, both 15C and 15(b) firms will be subject to the panoply of NASD rules.

The NASD is currently developing a proposal with its members that would make its Rules of Fair Practice and Uniform Practice Code applicable to 15C firms and to transactions in government securities. It is our understanding that the

---

[27] For a discussion of the Treasury's capital rule, see 52 FR 5660, 5665-70 and 52 FR 19642, 19651.

[28] 17 CFR 402.1(e).

[29] Pub. L. No. 103-202, 107 Stat. 2344, Sec. 106(b).

proposal is expected to be presented for approval to the NASD's Board of Governors at its July 1995 meeting.[30]

2. Development of a Uniform Capital Rule

Staff from the Treasury and the SEC, in consultation with staff of FRBNY, have been working together over the last few years to develop a uniform capital rule that would apply to the debt securities of both 15C and 15(b) firms. The working group has identified and analyzed the differences between the SEC and Treasury capital rules, determined the significance of these variances and developed alternative approaches for eliminating the differences within the scope of a single capital rule. Interviews have been conducted with several broker-dealers to discuss the possible impacts of the capital rule changes being considered.

Staff of the SEC are developing a revised capital rule treatment for debt securities that would bring the SEC's rule into closer alignment with the Treasury rule. Adoption of a revised SEC capital rule for debt securities should enable the Treasury to repeal corresponding provisions of its rule and, in turn, incorporate the SEC capital rule by reference for 15C firms.

Efforts to improve the capital treatment rule for CMOs, other mortgage derivative products, Government-Sponsored Enterprise (GSE) structured notes and options on government securities are much more difficult due to the complexity of these instruments. Work continues to progress in this area, and it is our understanding based on discussions with SEC staff that these instruments will be incorporated into the revised SEC capital rule for debt securities when proposed. The two separate capital rules represent one of the most significant remaining regulatory differences between 15C and 15(b) firms.

III. IDENTITY AND NATURE OF 15C FIRMS

A. DESCRIPTION OF CURRENT 15C FIRMS' BUSINESS

The 33 firms currently registered as 15C broker-dealers vary considerably in size and function. Exhibit II contains a list of the 15C firms as of March 1995. The firms range in size from large dealers (including two primary dealers) to relatively small, specialized firms. The firms act as brokers, interdealer brokers (IDBs), and dealers in various segments of the government and other exempted

---

[30] The bank regulatory agencies are currently developing sales practice rules for government securities transactions effected by financial institutions that have filed notice as government securities brokers and dealers.

securities markets. Most of the firms are active in the Treasury securities market, but the degree to which they conduct transactions in other segments of the government and exempted securities markets varies. The customers of the firms are predominantly institutional investors and other broker-dealers; few of the firms' customers are retail investors. For analytical purposes, this section categorizes the firms into four groups, reflecting the size and functional distinctions of the firms: IDBs, large dealers, midsize/small firms, and bank affiliates.

To gain a more detailed understanding of the types of business the 15C firms conduct, Treasury staff interviewed firms in each of the four categories. A total of 17 meetings were held, and the officials interviewed represent 21 of the 33 15C firms in existence at the time of this writing.[31] Exhibit III contains a list of firms interviewed by category. Thus, the following summaries of the business conducted by the firms interviewed provide a reasonable representation of the full group of 33 firms.

1. Interdealer Brokers[32]

In general, the IDBs broker trades between primary dealers, other large dealers and, to a limited degree, large institutional investors. The bulk of the IDBs' transaction volume is attributable to Treasury securities, although the firms earn substantial revenues from transactions in government mortgage-backed securities (MBS) and GSE debt. About half of the IDBs actively broker repo transactions, and some of the IDBs have 15C or 15(b) affiliates that handle repos. In most instances, all CMO transactions (including government securities CMOs) are effected through the IDBs' 15(b) affiliates.

The IDBs compile the best bid and ask prices reported to them by the dealers that subscribe to their services and then make this information available on computer screens located on the premises of the dealers. When a new bid or offer at a better price is placed with an IDB, the new quote will appear on its screen in the dealers' trading rooms within seconds. Generally, IDBs consider these bids and offers good until canceled. Counterparties pay commissions to the IDBs for arranging trades.

---

[31] In some cases, interviews were conducted with officials who represented more than one 15C firm (i.e., there are three groups of affiliated entities among the 33 15C firms). Sixteen interviews were originally scheduled (representing 20 firms). Letters were sent to the other 13 firms informing them of the study and providing them the opportunity to express their views via a conference call or interview. Three of these firms contacted Treasury staff, one of which requested an interview.

[32] This category summarizes the business of six firms interviewed: the four IDBs and two firms that function like IDBs. One firm that functions like an IDB conducts matched principal transactions, while the other IDB-like firm acts as a give-up broker of repos.

Virtually all of the IDBs' Treasury securities trades are conducted anonymously, while generally MBS trades are brokered on a "name give-up basis" (i.e., the identities of the counterparties are disclosed at the time of the trade). In the case of the anonymous trades, the identities of the specific dealers trading with the IDBs are kept confidential, with the understanding that anonymous trading allows the dealers to effectuate and protect their trading strategies and to avoid disclosing their positions to competitors.

The presence of the IDBs adds to the efficiency, liquidity, and depth of the market by making current prices discoverable and by allowing large amounts of securities to be traded rapidly and anonymously. Further, since the IDBs' trades constitute the main wholesale market for government securities, the firms play a vital role in the distribution of government securities and contribute to the orderly and efficient operation of this market.

All of the IDBs that broker securities eligible for clearance at either the Government Securities Clearing Corporation (GSCC) or the Mortgage-Backed Securities Clearing Corporation (MBSCC) are members of these organizations. GSCC and MBSCC, which are clearing agencies registered with the SEC, provide automated comparison, netting, and clearing services for members conducting trades in the Treasury and MBS markets, respectively. The vast majority of the largest, most active brokers, dealers, and banks in the government and MBS markets are members of GSCC and MBSCC. Thus, the IDBs' customers are, for the most part, GSCC and MBSCC dealer members. However, since most of the IDBs are Category 2 GSCC brokers,[33] they are permitted to conduct up to 10% of their trading volume with customers that are not GSCC members. Additionally, the customer base of the IDBs is likely to expand as GSCC and MBSCC membership expands. Membership in a clearing agency permits the IDBs to dramatically reduce their clearance and settlement risk since the process allows IDBs to be netted out of every compared trade.

2. Large Dealers

With the conversion of most of the 15C primary dealers to 15(b) registration status over the past few years, there are now just two large, non-bank-affiliated 15C dealers.[34] One of the firms participates as a dealer in a full range of government and other exempted securities (Treasury securities, GSE debt, MBS,

---

[33] In 1993, GSCC established a second category for broker members to permit them to engage in limited activity with non-members. Category 2 interdealer broker netting members have margin and funds settlement obligations that are essentially the same as those of Category 1 GSCC dealer netting members.

[34] A third large dealer is categorized as a bank affiliate for purposes of this report.

and zero coupon instruments) as well as repos and OTC options. This firm has a large institutional customer base, is a member of both GSCC and MBSCC and is a major player in the government securities market. The other large dealer conducts transactions in GSE and agency pass-through MBS and OTC options on MBS. Most of this firm's Treasury and other government securities business (including CMO trading) is done in its 15(b) affiliate, which is a member of GSCC. The 15C firm is a member of MBSCC, and its customer base consists of a wide variety of institutional investors.

3. Midsize/Small Broker-Dealers[35]

Most of the midsize/small broker-dealers interviewed actively trade Treasury securities, and a number of them conduct business in futures and options on Treasury securities. The firms generally conduct repos but limit them to financing purposes, so few of them run a matched book. Also, only a few of the firms effect transactions in MBS and GSE debt. One of the firms specializes in trading securities that are guaranteed by various government agencies. Another firm acts as an investment agent for FHA mortgagors and solely to invest escrowed funds.

The customer base of these firms includes the primary dealers, other dealers, and a range of institutional investors. Few of the midsize/small firms are members of GSCC or MBSCC, since their clearance volume generally is not large enough to warrant membership.

4. Bank Affiliates

The three bank affiliates interviewed, all foreign-owned, are active dealers in the Treasury securities market. One of the firms is a primary dealer and also trades OTC options on Treasury securities. Two of the firms trade listed futures, and one trades listed options on futures. The firms are rarely active in the GSE debt market, and most of them do not trade MBS (including CMOs). Two of the firms conduct repo transactions solely for financing purposes, with no matched-book repo operations. The other firm runs a large matched-book operation in addition to using repos for financing. One of the firms also trades commercial paper, and another trades Eurodollar futures.

The firms' customers consist mainly of the parent banks, bank affiliates, and a large proportion of foreign institutional investors. The main focus of these firms' business is the distribution of securities to their customers rather than active interdealer trading. One of the firms is a Section 20 subsidiary,[36] which permits

---

[35] This category summarizes the business of six firms interviewed.

[36] See supra note 14.

it to engage in a limited amount of commercial paper and other securities activities that are not permissible for national banks. Only one of the firms is a member of GSCC and MBSCC.

B. REASONS WHY FIRMS ORIGINALLY REGISTERED AS 15C BROKER-DEALERS AND RETAIN 15C STATUS

In the interviews, the firms expressed a number of reasons for their initial registration as 15C broker-dealers. A primary reason given was that the regulations issued pursuant to the GSA did not impose excessive and overly burdensome requirements on the firms. This provided for an ease of entry into a regulated business for those firms that were not subject to any program of federal registration and regulation prior to the enactment of the GSA. In order to prevent excessive and duplicative regulation, the GSA rules applicable to 15C firms, for the most part, incorporated existing rules of the SEC.

Some of the 15C firms described the regulatory structure and the GSA regulations as being a "good fit" for the limited and specialized lines of business they conduct. They indicated the rules reflected an understanding of the workings of the government securities market. Several of the firms believed that the 15C regulatory framework resulted in lower compliance costs than they would have experienced under the more expansive regulations applicable to general securities broker-dealers. Also, several of the 15C firms specifically mentioned that they supported registration in general since being subject to a federal system of regulation increased public confidence in their firms and in the government securities market.

The Treasury capital rule was mentioned by a large number of the firms interviewed as a primary reason why they registered as 15C broker-dealers. The Treasury capital rule and overall haircut structure were perceived as better reflecting the realities of the government securities market. Examples mentioned in the interviews of the more appropriate treatment under the Treasury rule included the handling of: repo overcollateralization and concentration; fails charges; treatment of OTC Treasury options; futures; give-up receivable allowances; credit exposure haircuts; haircuts on variable rate securities; the capital consolidation provisions; and lower effective haircuts on positions. Several of the 15C firms were already familiar with the Treasury's capital rule since it was structured from the FRBNY's voluntary capital guidelines. The IDBs were appreciative that the GSA regulations contain a separate rule for IDBs allowing them to elect to follow

an alternative capital treatment and recognizing the role they play in the government securities market.[37]

The fact that there was no required qualifications testing for sales representatives of 15C firms was another reason cited for initially registering as 15C broker-dealers. When the GSA was enacted, sales representatives of 15(b) firms were required to pass an examination (the Series 7 test for general securities representatives) measuring their knowledge of securities products, markets, and rules (this requirement still exists). However, under the GSA, the NASD was not authorized to apply qualifications testing to the sales representatives of 15C firms. Many specialized government securities firms viewed the absence of qualifications testing as an incentive to register as 15C broker-dealers and avoid the time and cost of testing, especially since few of the Series 7 questions pertain to government securities.

Several of the firms interviewed referred to the inapplicability of SIPC insurance for customer accounts of 15C firms as a factor in their decision to register as 15C broker-dealers. This results in a cost savings for the firms since they do not have to pay SIPC member assessments.

The firms indicated they remain registered as 15C broker-dealers for basically the same reasons that they originally registered in this manner. The 15C registration status has worked well for them and remains a "good fit" for their specialized line of business. The advantages of the Treasury capital rule were cited by many of the firms as one of the primary reasons they have retained their 15C status. Several of the firms also identified the continued absence of SIPC costs as a reason to remain 15C firms. A number of the firms mentioned that they have no incentive to change their product lines and registration status since they already have a 15(b) affiliate which can handle new registered securities and other products outside of the government securities market. Many of the IDBs indicated that keeping the 15C registration status helps clarify to their customers that their line of work is strictly as government securities brokers acting only in an agency capacity.

---

[37] In the past, a number of IDBs were granted consent by the Treasury to be subject to the Treasury "alternative" capital rule. Essentially, this rule permitted the IDBs to incur lower capital charges related to fails (in exchange for a higher minimum capital requirement) than other 15C firms as long as they conducted their businesses according to a strict definition of IDB (e.g., counterparties had to be government securities dealers; the IDBs had to promptly transmit customer funds and securities; and the IDBs had strict limits on their proprietary positions). As of December 1987, six IDBs were subject to the alternative capital rule. Today, only one of the IDBs follows the alternative treatment -- the result of an overall decline in the number of IDBs in recent years and a change by certain IDBs to the standard Treasury capital rule for a variety of business reasons (e.g., to broaden their customer base and to increase the types of securities they could trade).

It appears that the provision in the GSAA that has narrowed the distinctions between 15C and 15(b) firms have not prompted any of the 15C firms interviewed to change or consider changing registration status.

C. EFFECTS/IMPACTS OF SWITCHING FROM 15C TO 15(b) REGISTRATION

From a business and operational perspective, a requirement to convert from 15C to 15(b) registration status would not have a severe impact on the ongoing financial and operational health of most of the 15C firms. A mandatory registration conversion, however, would result in transitional difficulties for some firms since they would be required to acclimate themselves with a new capital rule and to have their sales representatives pass qualifications tests. Each 15C firm would also incur, to varying degrees, one-time conversion costs related to systems changes to accommodate the new capital rule computations and employee training (qualifications testing and familiarity with new rules). Moreover, a significant number of the firms interviewed were staunchly opposed to a requirement to convert to 15(b) registration. Overall, their concerns with a registration conversion requirement were consistent with the views they expressed when asked why they initially preferred (and continue to prefer) 15C registration to 15(b) registration.

A number of 15C firms contended that their overall capital charges would be higher if they were required to convert to 15(b) registration. The particular capital charges that the firms believed would be higher were the same ones identified earlier in this report (see Section III.B.). Most 15C firms felt that the Treasury capital rule is more tailored to the specialized businesses they conduct. The firms were advised that a revised uniform capital rule treatment for debt securities was being developed by SEC staff, in consultation with Treasury staff, that would be similar to, and consistent with, the Treasury's current capital rule.

In the past, an important factor in the capital area was the treatment of the IDBs under the Treasury's alternative capital rule. However, since most of the IDBs now follow the standard Treasury capital rule, the application of a revised uniform capital rule to the entire universe of 15C firms is more practicable.

The application of qualifications testing and sales practice rules to 15C firms upon registration conversion was cited by some firms as significant concerns. However, qualifications testing and sales practice rules will soon apply to 15C firms as a result of the GSAA. The firms were advised that the NASD is in the process of developing a government securities test for sales representatives of 15C firms and sales practice rules that will apply to the government securities transactions of the firms. However, the 15C registration status will enable sales personnel of these firms to take a narrower test than the Series 7 test.

Many 15C firms did not view qualifications testing as a significant problem since they had existing policies requiring their newly hired sales representatives to take the Series 7 examination. However, a number of the firms felt strongly that there is a need for: (1) a liberal grandfather provision for qualifications testing such that long-time, experienced personnel (especially senior level officials) would not be required to take the new test; (2) a flexible transition period for the implementation of the testing requirement; and (3) sales practice suitability rules which recognize the different needs of institutional customers when compared to retail customers. It was acknowledged during the interviews that these issues needed to be considered by the NASD in the development of the rules. Accordingly, Treasury staff has informed NASD staff of the views expressed by the firms during the interviews.

Many of the firms were also concerned about a requirement to join SIPC if they were required to convert to 15(b) registration. These firms questioned the need for SIPC membership and fees given that: (1) in the case of the IDBs, their customers, which are largely dealers, may not qualify as "customers" for SIPC purposes, and (2) many of the other 15C firms do not carry customer accounts, which makes SIPC insurance less relevant for their customers. In addition, the firms cited SIPC fees as a new cost that they would incur. However, since the level of fees assessed by SIPC is modest, most firms did not view the additional costs as particularly onerous.

Most of the IDBs expressed a concern, however tenable, that converting to 15(b) registration would cause customers to perceive them as "positioning" securities and not acting as brokers, thus prompting dealers to view them as competitors and to limit trades with them. The IDBs viewed such a development as detrimental to the overall government securities market and to their ability to distribute Treasury securities anonymously in the wholesale market. Also, some of the IDBs expressed concern about a new SEC rule[38] that imposes recordkeeping and reporting requirements on broker-dealer trading systems (essentially electronic trading/execution systems) which would apply to them if they were required to convert to 15(b) registration. Some of the IDBs contended that the requirements would be duplicative and burdensome since most of the information they would be required to capture is already maintained by other entities (e.g., GSCC and GOVPX[39]). The firms were advised that the SEC's new rule would apply to them under the 15(b) registration status and that further study of the rule would be

---

[38] SEC Rule 17a-23 (17 CFR 240.17a-23).

[39] GOVPX is a joint venture, operational since 1991, that disseminates real-time price, quotation, and volume information for Treasury and other government securities on a 24-hour, global basis.

necessary to determine whether it would be meaningful for the government securities market.

The firms expressed other concerns, most of which did not appear to be significant. One concern was the degree to which they would need to make recordkeeping and reporting systems modifications to accommodate a new capital rule. The expected impact varied from firm to firm; while some of the firms felt that the costs or administrative problems thereof were not extremely onerous, a few firms expressed the view that the costs, time, and resources required to be expended would be significant. Some firms also felt that efforts to convert to a different registration status would divert scarce resources from higher priority initiatives. Further, a few firms indicated that a mandatory registration conversion would most likely prompt them to consolidate their 15C and 15(b) affiliates into a single 15(b) entity.[40]

IV. CONSEQUENCES OF CONTINUING THE SECTION 15C REGULATORY STRUCTURE

A. FINANCIAL CONSIDERATIONS

The effect of either continuing or discontinuing Section 15C broker-dealer registration will have very little financial impact on either the federal government or the affected government securities brokers and dealers. From the Treasury's perspective, elimination of the Section 15C registration option would result in no cost savings because the Treasury would continue to have a regulatory role in the government securities market and because of the small amount of resources needed to carry out this program -- 6 full-time personnel. The SEC estimates that elimination of 15C registration would result in some small cost savings resulting from a reduced need to coordinate regulatory actions and eliminating the requirement to track broker-dealers registered under different statutory authorities.[41] In addition, a continuation of Section 15C registration would require the NASD, which has the primary examination responsibility for 15C firms, and, to a lesser extent the SEC for its oversight examination activities, to continue to incur incidental examination and examiner training costs that would otherwise not be necessary. It is our understanding that, in either case, these costs are not significant. For example, staff of the SEC has estimated that less than one staff work-year is devoted to the agency's oversight examination activities for 15C firms.

---

[40] Of the 33 firms currently registered as 15C broker-dealers, 17 have 15(b) affiliates.

[41] The primary regulatory regime accommodates approximately 8,600 firms, whereas the 15C regulatory regime applies to 33 firms.

However, the continued availability of Section 15C registration does not represent any increased costs to the government or the regulatory agencies. For example, whether government securities broker-dealers are registered as 15C or 15(b) firms, the SEC would continue to be the appropriate regulatory agency for these entities. Thus, there would be no immediate increased supervisory responsibilities for, or increased costs to, the SEC from continuing or disbanding the Section 15C regulatory structure. If 15C firms were to expand, however, and to create 15(b) affiliates to conduct general securities activities, the SEC and the NASD would incur some increased costs arising from the existence of separate affiliated firms that are subject to different regulatory structures and separate examination. The decline in the number of 15C firms over the last eight years decreases the likelihood of such a scenario in the years ahead. Of those 15C firms that have expanded their lines of business into registered securities products, most have withdrawn their 15C registration and converted to 15(b) status rather than creating separate 15(b) affiliates. Further, many of the 15(b) affiliates of the existing 15C firms were already in existence either at the time the GSA was adopted or when the 15C firms initially registered.

From a broker-dealer's perspective, maintaining the option of registration as a specialized government securities broker-dealer does not represent any additional cost. The decision to register under Section 15C is voluntary and is driven by the business considerations of the individual entities, as is a decision to establish separate legal entities for different securities products. Of the 15C firms that have 15(b) affiliates, it is probable that a few of these firms would consolidate their affiliates, if the option of 15C registration was eliminated, while others would maintain separate entities for other business purposes. Those electing to consolidate would receive recurring cost savings in the form of lower administrative and compliance costs. However, any phase-out of Section 15C registration would require the existing 15C firms (regardless of whether they have 15(b) affiliates) to incur one-time conversion costs (i.e., systems changes, training) which would be in addition to their existing operating expenses. Many of these same one-time costs will be incurred when a transition to a uniform capital rule is implemented. The broker-dealers interviewed expressed a wide range of views on the impact of these conversion costs, with a small group of firms holding the view that the costs would be significant.

B. REGULATORY CONSIDERATIONS

Government securities broker-dealers include SEC-registered broker-dealers and federally-regulated financial institutions (e.g., banks) that act as such intermediaries. Depending on the nature of the entity, the appropriate regulatory agency would be the SEC, the Federal Reserve, the Federal Deposit Insurance Corporation, the Office of the Comptroller of the Currency or the Office of Thrift Supervision. The existing diversity of government securities broker-dealers and

their appropriate regulatory agencies underscores the complexity of this regulatory structure and the potential for inconsistency and differing levels of regulatory burden. The Treasury was granted rulemaking authority over the entire government securities market to apply a consistent regulatory structure to a diverse market. The Treasury's role as rulemaker over the government securities market reflects Congress' determination, both in 1986 and 1993, that it is well suited to ensure effective coordination among the appropriate regulatory agencies and to develop a cooperative approach in dealing with regulatory issues.

In conducting this study, the regulatory treatment of the 15C and 15(b) firms was reviewed for inconsistency or differential treatment. Despite the potential for regulatory inconsistencies resulting from the Treasury and the SEC either taking different actions or acting in different time frames, no such problems were found. This coherence is primarily the result of the close coordination and cooperation between the two agencies and the adoption of existing rules where practical into the government securities regulations. In many cases, the Treasury rules for 15C firms closely parallel the SEC rules for 15(b) broker-dealers. This finding is also consistent with the conclusions expressed in an earlier joint study of the effectiveness of implementation of the GSA.[42]

Even if registration under Section 15C were phased-out, there would remain a broad distribution of government securities brokers and dealers and their corresponding appropriate regulatory agencies. The Treasury is currently the one agency that has been granted general rulemaking authority over all these entities, and there would remain a continuing need for a single regulatory agency to have this role in order to maintain the consistency of regulation. Accordingly, elimination of Section 15C registration would not represent any significant regulatory simplification.

NASD staff has expressed some concerns related to the need for separate examiner training, especially for the Treasury capital requirements, and manual financial reporting by 15C firms. It was their view that the commitment of additional resources to these areas is inefficient, though the size of this commitment is mitigated by the limited number of 15C firms. Both of these items are primarily attributable to the different capital rules applicable to 15C registrants. As mentioned earlier in this report, the Treasury and the SEC have been working to develop a uniform capital standard which, when implemented, will eliminate most of the NASD's concerns in this area.

---

[42] Study of the Effectiveness of the Implementation of the Government Securities Act of 1986, October 1990, Department of the Treasury, Securities and Exchange Commission, and Board of Governors of the Federal Reserve System.

C. IMPACT ON THE GOVERNMENT SECURITIES MARKET

The existence (or elimination) of a specialized government securities registration option was not widely believed to have a significant impact on the efficiency and liquidity of the government securities market. Generally, the consistency of regulation across market intermediaries achieved by the Treasury as rulemaker has a more important role in maintaining market efficiency than does the available registration options. Only the IDBs believed that the option of Section 15C registration was important for the continued efficient operation of this market. This belief may be more attributable to the fact that the IDBs have developed perceptions of a strong link between 15C registration and the need for a regulatory scheme that recognizes their importance to the functioning of the market.

There is one difference between the two types of registration that may have a limited market impact. SIPC insurance coverage does not extend to 15C firms. In fact, SIPA precludes 15C firms from SIPC membership and, accordingly, insurance coverage.[43] To date, this difference has not had a significant impact on the role of 15C firms in the market. However, it is an issue that should be considered in the overall context of the activities of these firms.

V. OBSERVATIONS AND CONCLUSIONS

As discussed earlier, the number of 15C firms will likely continue to decline as other debt markets involving products that are ineligible for trading by 15C firms (e.g., foreign sovereign debt, private label CMOs and other registered products) expand. While some firms indicated that they are planning to convert to 15(b) registration status to compete in emerging markets, others may respond to competitive and operational pressures by combining existing affiliated broker-dealers. These decisions reflect the fact that registration under the 15C regulatory structure is voluntary and firms have the flexibility to convert to another status if their business needs dictate such a move. The decline in the number of 15C firms raises the issue of a diminished on-going need for the 15C regulatory structure when compared to the situation that existed when it was originally established in 1986. However, during the interviews, a number of firms indicated that they are comfortable with this structure, believe the advantages of retaining their 15C status outweigh the disadvantages and prefer not to change their registration election.

The Treasury believes that the 15C regulatory structure continues to work well and that the GSA regulations are appropriately tailored to the operations of the firms that are doing a business solely in government securities. Many firms

---

[43] The SEC recently adopted amendments to Rule 10b-10 which require 15C firms to disclose that they are not members of SIPC. SEC Release 34-34962 (November 10, 1994), 59 FR 59612.

expressed the view that the Treasury, because of its understanding of the government securities market and its narrower regulatory focus, is best suited to administer regulations for 15C firms. In particular, the IDBs expressed the view that the Treasury is more likely, in the development of regulations, to recognize the unique role that they play in the distribution of Treasury securities. Given the significant growth in the government securities market in recent years from increased federal borrowing requirements and the expansion of the MBS market, the role of IDBs has become even more important. The IDBs enhance the efficiency and liquidity of the market because dealers can execute trades in large quantities on an anonymous basis with minimal concern about credit risk. Any change in the regulatory structure for the government securities market must take into consideration the benefits derived from the role the IDBs play in this market. A significant modification of the existing government securities regulatory structure could result in changes to the operations of the IDBs which might adversely affect the timely execution of large government securities trades, carrying negative implications for overall market liquidity and the Treasury's borrowing costs.

The Treasury's important role in the government securities market and its interest in maintaining investor confidence in the integrity of the market have contributed to the adoption of rules that are balanced from both a regulatory and market efficiency perspective, while taking into consideration the specific characteristics of this market. For example, recognizing the integral role that IDBs play in the market, the Treasury adopted a capital rule that was frequently mentioned during the interviews as being more representative of the risks related to a business in government securities than the SEC capital rule.

Staffs of the Treasury and the SEC are attempting to develop a single capital treatment that is appropriate for the government securities transactions of all broker-dealers. Although much progress has been made, a single capital treatment for government securities has not been developed. A decision to eliminate the 15C regulatory system without first resolving the most significant remaining difference between the 15C and 15(b) structures (i.e., different capital rules) would be premature.[44] Such an action would increase the capital compliance and other regulatory costs of existing 15C firms without any offsetting benefits.

A decision to require 15C broker-dealers to switch their registration status would result in increased costs to the current 15C firms (systems, training, SIPC fees, capital charges) with little or no corresponding benefits. These costs would be both one-time costs related to the conversion to a new registration status as

---

[44] It is probable that other less dramatic regulatory actions (e.g., the continuation of exemptions that have been granted to 15C firms) would also be necessary to ensure a smooth transition if Section 15C registration were to be eliminated.

well as recurring costs primarily for SIPC fees and capital requirements that recognize market risk less favorably.

The SEC supports the elimination of the 15C regulatory program. The SEC believes that the existence of separate regulatory schemes for 15C firms and general securities brokers and dealers that conduct a government securities business results in inconsistent regulatory treatment for these entities, and has the potential for additional regulatory inconsistencies. The principal differences at this time are SIPC membership and different capital rules. The SEC staff is developing a revised capital treatment for debt securities to better reflect the realities of the government securities market. With respect to SIPC membership, the operation of 15C firms does not uniquely insulate them from the types of risks that led Congress to authorize SIPC.[45] Investors in the government securities market should receive the same protection from comparable risks that investors receive in other securities markets. The SEC also has concerns regarding the duplication of effort and attendant need for coordination when both the SEC and the Treasury must act to revise basic rules, such as capital and reporting requirements, for broker-dealers generally. Further, the elimination of the 15C program would result in regulatory simplification for both the SEC and the NASD. While the immediate cost savings would not be significant, the SEC believes that it would result in more efficient allocation of SEC and NASD resources.

The Treasury does not foresee any cost savings from discontinuing the 15C registration option. This is because the staff responsible for administering the GSA regulations is very small and the Treasury's regulatory responsibilities extend beyond 15C firms to include: (1) all other classes of government securities brokers and dealers -- financial institutions that have filed notice as government securities brokers and dealers and 15(b) firms that conduct a government securities business; (2) depository institutions maintaining custody of customer's government securities; and (3) the administration of the uniform offering circular for the issuance of Treasury securities (i.e., auction rules). As an example, in the Treasury securities market, the Treasury's authority under the GSAA to prescribe large position recordkeeping and reporting rules extends to all participants in the government securities market. Elimination of the 15C registration option would leave both the Treasury and the SEC with rulemaking authority over the government securities activities of SEC-registered entities and the Treasury continuing to write the rules for the government securities activities of financial institutions. Accordingly, no significant regulatory simplification would be accomplished solely from phasing-out the section 15C registration option.

---

[45] See GAO Report, "U.S. Government Securities, More Transaction Information and Investor Protection Measures Are Needed," September 1990, at p. 60-63.

The current diverse composition of government securities broker-dealers creates a need for a single regulatory body to maintain consistent regulation across intermediaries. As reflected in Congress' decisions both in enacting the GSA and amending it in the GSAA, the Treasury remains the logical agency to perform this function. The Treasury also believes the efforts currently underway to simplify the regulatory landscape by further narrowing the differences between the regulation of 15(b) and 15C firms -- while preserving various provisions that are tailored to the specialized business of 15C firms -- should continue. These efforts, as well as the voluntary nature of electing 15C registration, currently argue for the continuation of the 15C registration option. In addition, the 15C structure is working well and no major problems have been identified that would be resolved by eliminating this regulatory system. From a policy perspective, given the Treasury's interests in preserving market efficiency, liquidity and integrity while minimizing borrowing costs, the Treasury derives significant benefits from its involvement as rulemaker.

VI. RECOMMENDATION

The findings and conclusions of this study support the continuation of the current 15C regulatory structure for the following reasons:

1. The 15C structure is working well, as evidenced by the 15C firms' support for, and satisfaction with, the existing structure, and no major problems have been identified that would be resolved by eliminating this regulatory system;

2. Neither significant savings to the government nor regulatory simplification would be achieved from the elimination of the 15C registration option;

3. The efforts to minimize or resolve the differences between the Treasury's and the SEC's capital rules that would permit the development of a uniform capital treatment for all government securities brokers and dealers have not yet been completed; and

4. The Treasury continues to obtain valuable information and insights regarding the effective regulation of the government securities market from its responsibilities as rulemaker for 15C firms.

Accordingly, the Treasury recommends that the current 15C regulatory regime be maintained at this time.

EXHIBIT I

NUMBER OF GOVERNMENT SECURITIES BROKER-DEALERS

REGISTERED UNDER SECTION 15C[46]

	Total # 15C FIRMS	# 15C Firms that were PRIMARY DEALERS[47]
JULY 1987	67	9
JUNE 1988	60	11
JULY 1989	63	10
JUNE 1990	61	9
JULY 1991	60	9
SEPTEMBER 1992	49	8
JULY 1993	44	4
FEBRUARY 1994	41	3
NOVEMBER 1994	34	2
MARCH 1995	33	2

[46] Although the dates used in this table are not uniform, they are based on the best available information.

[47] The primary dealers that were registered as 15C firms shown in this column are also included in the column reflecting the total number of 15C firms.

EXHIBIT II

LISTING OF GOVERNMENT SECURITIES BROKER-DEALERS

REGISTERED UNDER SECTION 15C AS OF

MARCH 1995

Cantor Fitzgerald Securities Corporation
Charter Atlantic Securities Company, Inc.
East Hampton Securities, Limited
First Money Store Securities, Inc.
Garban Limited
Garvin Guybutler Corporation
Giles Securities Company, L.P.
Government Securities Corporation
G.X. Clarke & Company
Hilliard Farber & Company, Inc.
Langdon P. Cook Government Securities, Inc.
Liberty Brokerage, Inc.
Merrill Lynch Government Securities, Inc.
Merrill Lynch Government Securities of Puerto Rico, S.A.
Mitsubishi Securities (USA), Inc.
Morgan Stanley Market Products, Inc.
Municipal Government Investment Associates, Inc.
National Investment Funds, Inc.
New York Capital Markets, Inc.
Prebon Securities (USA), Inc.
Refco Securities, Inc.
RMJ Europe, Limited
RMJ Options Trading Corporation
RMJ Securities Corporation
Rosenthal Global Securities Company
Sample, Lynch & Company
Sanwa Securities (USA) Company, L.P.
Schulte & Johnson, Inc.
Shay Government Securities Company
Tokai Securities, Inc.
United Republic Securities, Inc.
Wagner, Doxey, Williams & Raney
Winstar Government Securities Company, L.P.

LISTING OF GOVERNMENT SECURITIES BROKER-DEALERS

REGISTERED UNDER SECTION 15C

INTERVIEWED FOR REPORT

Interdealer Brokers:[48]

Cantor Fitzgerald Securities Corporation
Garban Limited
Hilliard Farber & Company, Inc.
Liberty Brokerage, Inc.
Prebon Securities (USA), Inc.
RMJ Securities Corporation

Large Dealers:[49]

Merrill Lynch Government Securities, Inc.
Morgan Stanley Market Products, Inc.

Midsize/Small Broker-Dealers:

Giles Securities Company, L.P.
Government Securities Corporation
G.X. Clarke & Company
Langdon P. Cook Government Securities, Inc.
National Investment Funds, Inc.
Refco Securities, Inc.

Bank Affiliates:

Mitsubishi Securities (USA), Inc.
Sanwa Securities (USA) Company, L.P.
Tokai Securities, Inc.

---

[48] This category includes four interdealer brokers and two firms that function like interdealer brokers.

[49] A third large dealer is categorized as a bank affiliate for purposes of this report.